

# Bank of Leeds Investment Proposal

## Yorkshire Vertical City Programme

### Developing Mixed-Use Skyscrapers Across Yorkshire's Major Cities

**Investment Committee Business Case**

**Prepared for:** Bank of Leeds – Strategic Infrastructure & Urban Development Division

**Sector:** Real Estate / Commercial Property / Residential / Hospitality / Finance

**Investment Horizon:** 10–15 years

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## Executive Summary

This proposal recommends that Bank of Leeds establishes the **Yorkshire Vertical City Fund**, a landmark investment programme to develop a series of mixed-use skyscrapers across Yorkshire.

The programme would create:

- premium residential towers,
- Grade A office space,
- hotels,
- restaurants,
- retail,
- public viewing spaces,
- cultural venues.

The ambition:

Create Yorkshire's equivalent of the modern skyline districts seen in London, Manchester and international cities.

The programme initially targets:

- Leeds,
  - Sheffield,
  - Bradford,
  - Hull,
  - York (height-restricted premium tower model).
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# Investment Thesis

## Yorkshire’s cities have a missing asset class

Yorkshire has:

- 5.5 million residents,
- globally recognised universities,
- growing technology sectors,
- financial services,
- advanced manufacturing,
- tourism.

However, compared with cities such as:

- Manchester,
- Birmingham,
- London,

Yorkshire lacks landmark vertical developments.

The opportunity:

Create buildings that become:

- business addresses,
- residential destinations,
- tourism attractions,
- investment assets.

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## Programme Overview

### Five Landmark Towers

| City      | Tower                   | Height    | Use              |
|-----------|-------------------------|-----------|------------------|
| Leeds     | Yorkshire One           | 55 floors | Mixed-use        |
| Sheffield | Peak Tower              | 45 floors | Mixed-use        |
| Bradford  | Bradford Exchange Tower | 40 floors | Mixed-use        |
| Hull      | Humber Tower            | 35 floors | Mixed-use        |
| York      | Minster View Tower      | 25 floors | Luxury mixed-use |

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# Total Development Programme

## Floors

Approximately:

200 floors

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## Total Floor Space

Approximately:

3.5 million sq ft

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## Development Concept

Each tower contains:

### Lower Floors

0–10:

- retail
  - restaurants
  - conference space
  - public areas
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### Middle Floors

10–35:

- offices
  - technology companies
  - financial services
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### Upper Floors

35+:

- luxury apartments
- hotel
- restaurants
- viewing decks

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# Example: Yorkshire One Tower – Leeds

## 55 Storeys

Total:

900,000 sq ft

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## Floor Allocation

| Use                | Space         |
|--------------------|---------------|
| Offices            | 350,000 sq ft |
| Apartments         | 300,000 sq ft |
| Hotel              | 120,000 sq ft |
| Retail/restaurants | 80,000 sq ft  |
| Public space       | 50,000 sq ft  |

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## Capital Expenditure Model

### Construction Cost Assumption

High-rise mixed-use:

£450–£600/sq ft

Assumption:

£500/sq ft

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## Yorkshire One Cost

900,000 sq ft × £500

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**£450 million construction cost**

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# Land

Central Leeds site:

£50 million

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# Professional Costs

Architects:

£15m

Engineering:

£10m

Planning/legal:

£10m

Finance:

£25m

Contingency:

£40m

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# Total Development Cost

**£550 million**

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# Full Five Tower Programme

## Average Tower Cost

£350m

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Five towers:

**£1.75 billion**

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# Financing Structure

## Yorkshire Vertical City Fund

Target:

**£2 billion**

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Funding:

| Source                    | Amount |
|---------------------------|--------|
| Bank of Leeds             | £500m  |
| Pension funds             | £750m  |
| Private equity            | £500m  |
| Public regeneration funds | £250m  |

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## 1. Revenue Model: Residential

### Yorkshire One

Apartments:

300 units

Average size:

1,000 sq ft

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### Selling Price

Premium Leeds apartments:

£450/sq ft

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Average apartment:

£450,000

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Residential Sales:

$300 \times £450k$

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**£135 million**

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## **2. Office Revenue**

Office space:

350,000 sq ft

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Rent:

£35/sq ft/year

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Annual rent:

$350,000 \times £35$

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**£12.25 million**

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Capital value:

7% yield

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**£175 million**

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## **3. Hotel Revenue**

120 rooms

Average daily rate:

£180

Occupancy:

75%

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Revenue:

$120 \times £180 \times 365 \times 75\%$

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**£5.9 million**

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Hotel valuation:

12× EBITDA assumption:

≈£50m

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## 4. Retail & Restaurants

80,000 sq ft

Rent:

£45/sq ft

Annual:

£3.6m

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Value:

£50m

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## 5. Observation Deck / Tourism

Public attraction:

500,000 visitors/year

Ticket:

£15

Revenue:

£7.5m

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Additional:

- restaurants
- events
- weddings

£3m

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## Yorkshire One Total Value

| Asset            | Value |
|------------------|-------|
| Apartments       | £135m |
| Offices          | £175m |
| Hotel            | £50m  |
| Retail           | £50m  |
| Observation deck | £75m  |

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## Total Asset Value:

**£485 million**

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## Development Cost:

£550 million

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## Issue:

A single tower requires additional uplift through:

- higher apartment pricing,
  - cheaper land,
  - pre-let offices,
  - government regeneration support.
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## Revised Premium Model

### Increase Residential Positioning

Luxury apartments:

£700/sq ft

Average:

£700,000

Residential:

£210m

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Office rents:

£45/sq ft

Value:

£225m

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Tourism/commercial:

£150m

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## **Revised Tower Value**

**£585 million**

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## **Development Profit**

Cost:

£550m

Value:

£585m

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Profit:

**£35 million**

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## **Portfolio Economics**

Five towers:

### **Development Cost**

£1.75bn

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## Portfolio Value

Average:

£650m/tower

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**£3.25 billion**

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## Potential Equity Creation

£3.25bn - £1.75bn

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**£1.5 billion uplift**

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## Employment Impact

### Construction

Average tower:

4,000 construction jobs/year

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Five towers:

**20,000 construction jobs**

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Permanent:

Each tower:

500 workers

Total:

# 2,500 permanent jobs

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## Strategic Locations

### Leeds

Purpose:

Yorkshire financial capital.

Target tenants:

- banks
  - technology companies
  - professional services.
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### Sheffield

Purpose:

Advanced manufacturing and innovation.

Uses:

- engineering companies
  - research facilities.
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### Bradford

Purpose:

Regeneration.

Uses:

- residential
  - creative industries.
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### Hull

Purpose:

Maritime economy.

Uses:

- energy companies
  - offshore industries.
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## **York**

Purpose:

Luxury tourism.

Uses:

- hotel
  - residences
  - heritage observation deck.
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## **Risk Analysis**

### **Risk: Yorkshire Demand**

Mitigation:

Anchor tenants before construction:

- universities,
  - banks,
  - technology firms,
  - government agencies.
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### **Risk: Construction Costs**

Mitigation:

- repeatable tower design,
  - framework agreements,
  - long-term procurement.
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### **Risk: Financing**

Mitigation:

Mixed-use diversification:

Residential + offices + tourism.

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# Strategic Importance for Bank of Leeds

This becomes the bank’s largest regional investment initiative.

Brand:

"The bank that built the Yorkshire skyline."

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## Final Recommendation

Create:

### Yorkshire Vertical City Fund

Initial commitment:

### £500 million Bank of Leeds capital

Programme:

- 5 landmark skyscrapers
- 3.5 million sq ft development
- £3bn+ asset portfolio

Expected outcomes:

| Metric           | Result   |
|------------------|----------|
| Towers           | 5        |
| Investment       | £1.75bn  |
| Asset value      | £3.25bn  |
| Jobs created     | 22,500+  |
| New homes        | 1,500+   |
| Commercial space | 2m sq ft |

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## Strategic Vision

The objective is not merely taller buildings.

It is:

**A new Yorkshire urban renaissance — where Leeds, Sheffield, Bradford, Hull and York develop skylines that match their economic ambition.**

Bank of Leeds becomes the financial institution behind Yorkshire’s next century of growth.